

THE BUZZ

CONSULTING

Desi Big 4

Fresh discussions to scale up Indian audit and accounting firms have emerged. With companies gearing up for audit rotations, could this give a new impetus to the plan?

BY SURABHI

► **THERE'S BEEN MUCH** excitement among the country's auditing and accounting community after a meeting in the Prime Minister's office about scaling up domestic firms on the lines of the Global Big Four.

10 | Chaired by Shaktikanta Das, Principal Secretary to the PM, the meeting is understood to have discussed regulatory hurdles and gaps and the possible need to set up a taskforce. The ministry of corporate

affairs and the ICAI have also held discussions on this in the past.

Prime Minister Narendra Modi had, in 2017, noted that there are no big global Indian accounting firms and had called for setting up four big Indian CA firms to take on the global biggies like PwC, Deloitte, EY, and KPMG.

India is the fastest-growing major economy in the world. Experts reason that it should try and build

its own institutions to match its growing economic power. Vishesh Chandiok, CEO, Grant Thornton Bharat, notes that China understood this and started reforming its audit world 15 years ago. "They identified the 10 biggest Chinese firms and gave them the work for auditing state-owned enterprises as well as all the listing work of Chinese firms in Hong Kong along with the Big Four. Some of these Chinese firms are even bigger than the Big Four today," he says, noting that in India, there is no equivalent.

"We either have the Big 4 or smaller firms. Who will stand up for Indian capital? Somebody needs to support Indian capital and have a voice on setting standards," he points out.

Today, a host of Indian CA firms have emerged to become mid-level firms that often give the bigger global firms a run for their money. But it's far from a level-playing field. To put things in perspective, industry data suggests there are about

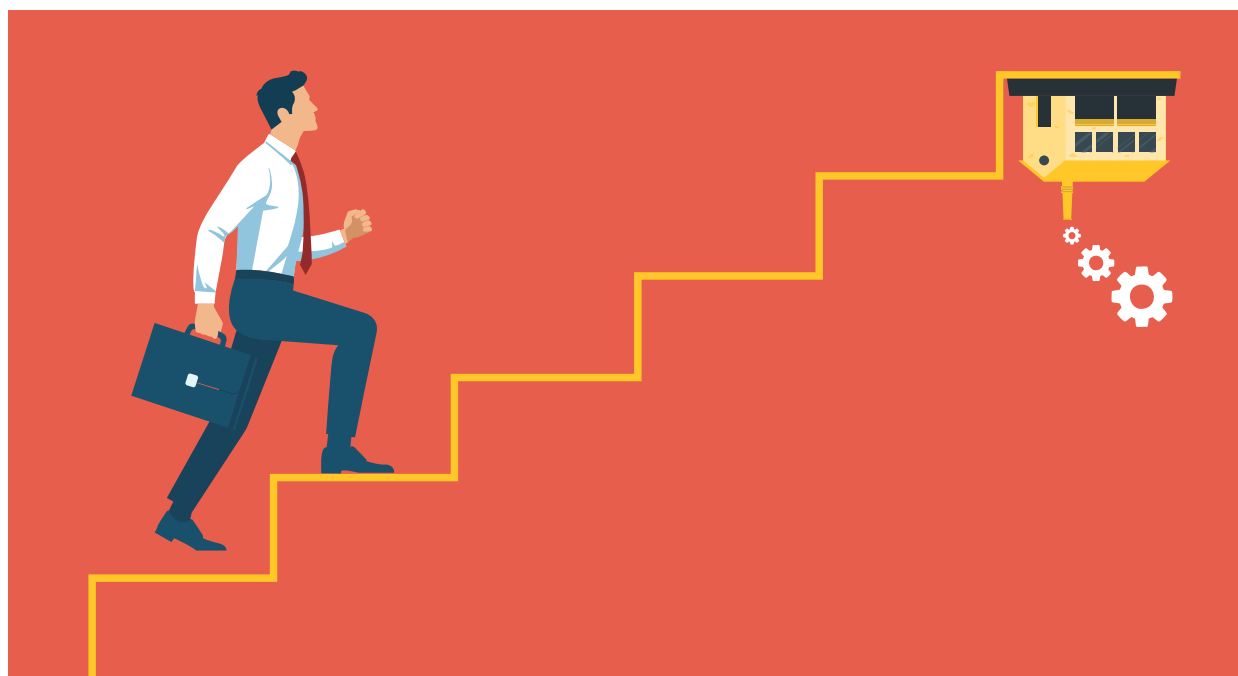


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